

24. (1 point)

An insurance company follows a “maintain market share” strategy during a soft market.

a. (0.5 point)

Briefly describe the strategy and provide a negative implication in a soft market.

b. (0.5 point)

Briefly describe two features of a more effective underwriting cycle management strategy.

END OF EXAMINATION

EXAM 7 SPRING 2018 SAMPLE ANSWERS AND EXAMINER'S REPORT

SPRING 2018 EXAM 7, QUESTION 24	
TOTAL POINT VALUE: 1	LEARNING OBJECTIVE(S): C8
SAMPLE ANSWERS	
Part a: 0.5 point	
<u>Sample Response</u> • Keep writing business in order to maintain same volume even though prices have decreased. The implication is you are writing more business at inadequate rates since market has softened. • The firm decreases the price and/or expands coverage to maintain the market during the soft market. This action would result in a price adequacy drop. When the cycle hits the bottom, the firm will recognize the increased loss from the increased exposure. This may result in a downgrade. • The strategy is to decrease price as to not lose volume. This may result in underpricing. • Naïve underwriting cycle strategy. This would result in taking on additional exposures at a lower price which could hurt results. • They will sell business at unprofitable rates. This may lead to default once claims start to come in. • Company drops prices to prevent losing customers during a soft market. When market over-corrects, company may not have the capacity to "cash in" on the higher pricing and greater profits. • The company would have a "plan" premium target and will strive to make that target no matter what. However, in a soft market, prices are low and the company's rates will be insufficient to be profitable which will cause significant issues down the road.	
Part b: 0.5 point	
<u>Sample Response</u> • Change underwriting incentives to allow underwriters to write fewer premiums while not being worried about job safety or bonuses. • Align underwriter incentive with meeting objective of cycle management strategy rather than growth in plan. • Maintain underwriter discipline – do not write unprofitable business even if it means giving up market share. • Maintain intellectual property – retain top talent and continue investment in data systems. • Invest in intellectual property – retain and train people to be ready to write more when cycle turns. • Maintain the company's top talent and grow their skills. Talent such as underwriters or actuary. • Maintain presence in core market. When the soft market turns, underwriter can start writing business again at better pricing. • You can educate the owner to let them know premium volumes may drop. • Owner education – educate the owner to understand that decreased premium volume and increased overhead expense is expected in soft markets when practicing effective cycle management. • Educate owners to understand the strategy and impact, not to increase market share in	

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soft market.

- Scenario planning – prepare for possible scenarios of changes to the market so you have a pre-determined plan to act upon.
- Market overreaction – the company reduces its writings in soft markets and then when the market hardens it can aggressively write more business at higher rates since it will have sufficient capital from not writing in soft years.
- Investment strategy – Invest in taxable bonds during soft market with low/ no profits. Invest in non-taxable bonds in hard market.
- Consider agent theory so that management goals are aligned with owner's goals.
- Also plan ahead on market overreaction. Keep surplus healthy in anticipation of capitalizing when prices improve. Windfalls reaped will compensate for losses in soft market.

EXAMINER'S REPORT

Candidates were expected to understand the definition of a soft market and the strategies a company could follow during a soft market, along with their implications.

Part a

Candidates were expected to explain the strategy and provide a negative implication of this strategy.

Common mistakes included:

- Not providing adequate explanation of the strategy or repeating the wording in the question.
- Providing only a negative implication, without an explanation of the strategy.

Part b

Candidates were expected to know features of alternative underwriting cycle management strategies.

Common mistakes included:

- Providing only one strategy.
- Not providing adequate explanation of the strategies listed.